

GIANOTTI v KLAUSE, et al

24CV47238

**DEFENDANT’S PETITION TO COMPEL BINDING ARBITRATION
AND STAY ALL PROCEEDINGS**

Before the Court is a second motion to compel arbitration filed by Defendants Downey Management Group, Inc. (“Downey”), Airola Road Vineyards, LLC (“Airola”), George Klaus (“Mr. Klaus and Birgit Klaus (“Ms. Klaus”) (collectively “Defendants”).

I. Factual and Procedural Background

Plaintiff alleges that Defendants Downey and Airola are joint employers with a unity in interest and ownership and that Downey owns Airola. (Complaint ¶ 22.) Upon information and belief, Downey Management owns Airola Road Vineyards. George Klaus is listed as the agent for both businesses. (*Ibid.*). Defendants own an 88-acre estate that operates as a vineyard and wedding venue. (*Id.* ¶ 23.) Defendants also own two residential properties on the estate, both of which operate as Airbnb rental properties. (*Ibid.*) Apparently, the entire estate is owned and operated by George and Birgit Klaus. (*Ibid.*)

On or about December 1, 2022, Defendants hired Plaintiff on a full-time basis as a caretaker at a rate of pay of approximately \$800.00 every two weeks, significantly below the California minimum wage of \$15.00 per hour. (Complaint ¶ 24.) Plaintiff was required to live in an on-site residential unit as a condition of employment. (*Id.* ¶ 25.) As such, Plaintiff was treated not as a tenant but as a licensee. (*Ibid.*) In her capacity as a caretaker, Plaintiff’s job duties and responsibilities included, but were not limited to, cleaning the rental properties, fountains, and pools, mowing the grass, nurturing plants and flowers, pruning trees, and pruning grapes. (*Id.* ¶ 26.)

Plaintiff alleges a number of wage and hour law violations. She also alleges that despite the fact that she was required to live on the premises as a caretaker, Defendants failed to secure the necessary permits to make the living space habitable. (Complaint ¶ 33.) Plaintiff was then allowed to live in one of the Airbnb units but was not allowed to unpack her belongings and was forced to accommodate Defendants’ various guests without being asked first. (*Id.* ¶¶ 34, 35.) Plaintiff was required to pay rent when she used an Airbnb unit. (*Id.* ¶ 37.) Apparently, Defendants also forced Plaintiff to participate in religious proceedings. (*Id.* ¶¶ 42-46.) After Plaintiff complained about the various wage and hour violations, her living conditions, and other matters, she had her hours significantly reduced and then she was constructively terminated. (*Id.* ¶¶ 50-52.)

Plaintiff brings claims for various violations of California Labor Code, California Business and Professions Code, Fair Employment and Housing Act and the Private Attorney Generals Act (PAGA).

On October 18, 2024, Defendants moved for an order compelling the matter to binding arbitration pursuant to an alleged arbitration agreement (“Agreement”) between Plaintiffs and Defendant Downey. The Court denied the motion, without prejudice, finding that Defendant had failed to carry its burden to show, in the face of Plaintiff’s denial, that her signature allegedly on the arbitration agreement was authentic.

II. Procedure and Burden of Proof on Petition to Compel Arbitration

In determining the enforceability of an arbitration agreement, the court considers “two ‘gateway issues’ of arbitrability: (1) whether there was an agreement to arbitrate between the parties, and (2) whether the agreement covered the dispute at issue.” (*Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.) The trial court must first determine whether an “agreement to arbitrate the controversy exists.” (Code Civ. Proc., 1281.2.) “Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence.” (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.) The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent’s signature. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) Alternatively, the moving party can meet its initial burden by setting forth the agreement’s provisions in the motion. (Cal. Rules of Court, rule 3.1330.)

It then becomes Plaintiff’s burden, in opposing the motion, to prove by a preponderance of the evidence any fact necessary to her opposition. (*Espejo, supra* 246 Cal.App.4th at 1057.) “Code of Civil Procedure section 1281.2 requires a trial court to grant a petition to compel arbitration ‘if the court determines that an agreement to arbitrate the controversy exists.’” (*Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal.App.4th 50, 59, quoting Code Civ. Proc. § 1281.2.)

Generally, on a petition to compel arbitration, the court must grant the petition unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for revocation of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (*Desert Reg’l Med. Ctr. v. Miller*, (2022), 87 Cal.App.5th 295, 308.)

III. Legal Analysis

Once again, Defendants have met their initial burden of showing the existence of an Agreement that appears to have been signed by Plaintiff on November 19, 2022.

(Declaration of George Klaus (“Klaus Decl.”) ¶ 5, Ex. A.) (*Espejo v. S. Cal. Permanente Med. Grp.* (2016) 246 Cal.App.4th 1047, 1060 [party moving to compel arbitration may meet their initial burden to show an agreement to arbitrate by attaching a copy of the agreement purportedly bearing the opposing party’s signature].)

However, Plaintiff again disputes that the signature on the agreement is hers. She avers that she did not see the arbitration agreement before litigation, she did not sign the arbitration agreement, and that she could not have signed it on the date alleged because she was not hired until December 1, 2022. (Declaration of Kristin Gianotti (“Gianotti Decl.”) ¶¶ 4,5,8.) Because Plaintiff has asserted under oath that she did not see or sign the arbitration agreement, she has successfully carried her burden of producing evidence that challenges the authenticity of the agreement. (*Gamboa v. Ne. Cmty. Clinic*, (2021) 72 Cal.App.5th 158, 165 [declaring under penalty of perjury that the opposing party never saw the arbitration agreement or signed it is sufficient evidence to challenge the authenticity of the agreement].) Plaintiff points out that her initials are missing from two key paragraphs in the Agreement where the employee’s initials are clearly meant to appear. The first is the paragraph notifying the employee that by signing the Agreement she waives her right to a jury and any collective action. The second is an acknowledgment that the employee has been given an opportunity to discuss the Agreement with their own counsel and declined to do so. Neither of these are initialed, which Plaintiff argues further shows that she never saw nor signed the Agreement. (Gianotti Decl. ¶ 9.)

Accordingly, the burden returns to Defendants to show, by a preponderance of the evidence, that the agreement is valid. (*Gamboa*, *supra* 72 Cal.App.5th at 165.) In support of this, Defendant now submits the affidavit of forensic document examiner Jim Blanco. Mr. Blanco is a trained forensic document examiner who has provided “expert opinions regarding questioned documents on over 8,000 occasions.” (Declaration of Jim Blanco (“Blanco Decl.”) ¶¶ 2, 3, 8.) Mr. Blanco avers that defense counsel provided him with the Agreement in question and eight other documents purportedly known to have Plaintiff’s signature on them. (*Id.* ¶ 10, 11.) Mr. Blanco avers that the signature on the Agreement has “fundamental handwriting similarities” with Plaintiff’s known signature. (*Id.* ¶ 17.) He further avers that:

“Kristin Gianotti is identified as the writer of the Exhibit 3 signature, hand printed name and date entry. An “identification” is a term of art in Forensic Document Examination opinion rendering and represents the highest degree of confidence expressed by document examiners in handwriting comparisons. That is, the examiner has no reservations whatsoever, and the examiner is certain, based on evidence contained in the handwriting, that the writer of the known material actually wrote the signature and other writings in question.” (*Id.* ¶ 21.)

Plaintiff argues that the renewed motion to compel is in essence a motion for reconsideration and should be treated as such – which would preclude the introduction of new evidence that *could* have been brought in the previous motion. This is a meritless argument. The previous motion to compel was denied without prejudice, meaning Defendants were able to renew the same motion at a later date (*Herrington v. Hyundai Motor Am.* 2024 Cal. Super. LEXIS 62315 * 4 [defendants are not restricted from bringing a second motion to compel arbitration and are not prohibited from raising new arguments or facts that were not previously presented]) and the current motion specifically addresses the proof the Court noted was lacking from the original motion.

The Court notes that plaintiff failed to address the substance of the forensic document examiner’s expert opinions, instead just renewing her claims that she did not sign the agreement. The Court finds her renewed protestations non-persuasive to rebut the offered expert opinions. As such, the Court finds defendants have met their burden to establish that the Agreement was valid.

Based on the foregoing, Defendants’ Motion to Compel Binding Arbitration is **GRANTED**. All further proceedings in this Court are stayed, though the matter will remain on the Case Management calendar for monitoring for a dismissal once the binding arbitration ruling becomes final.

The clerk shall provide notice of this ruling to the parties forthwith. The Court intends to sign the Proposed Order submitted by Defendants.

HSU v DEL MUNDO

24CV47462

DEFENDANT'S SECOND DEMURRER TO PLAINTIFF'S AMENDED COMPLAINT

Plaintiff Mike Sheng Con Hsu. ("Plaintiff") filed his Complaint arising out of a real property dispute with Defendants Leonardo Del Mundo and Angela Del Mundo ("Defendants"). Now before the Court is Defendants' demurrer to the Plaintiff's First Amended Complaint.

The demurrer does not comply with Local Rule 3.3.7. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

3.3.7 Tentative Rulings (Repealed Eff 7/1/06, As amended 1/1/18) All parties appearing on the Law and Motion calendar shall utilize the tentative ruling system. Tentative Rulings are available by 2:00 p.m. on the court day preceding the scheduled hearing and can be accessed either through the court's website or by telephoning 209-754-6285. The tentative ruling shall become the ruling of the court, unless a party desiring to be heard so advises the Court no later than 4:00 p.m. on the court day preceding the hearing including advising that all other sides have been notified of the intention to appear by calling 209-754-6285. Where appearance has been requested or invited by the Court, all argument and evidence is limited pursuant to Local Rule 3.3. All matters noticed for the Law & Motion calendar shall include the following language in the notice:

Pursuant to Local Rule 3.3.7, the Court will make a tentative ruling on the merits of this matter by 2:00 p.m. the court day before the hearing. The complete text of the tentative ruling may be accessed on the Court's website or by calling 209-754-6285 and listening to the recorded tentative ruling. If you do not call all other parties and the Court by 4:00 p.m. the court day preceding the hearing, no hearing will be held and the tentative ruling shall become the ruling of the court [emphasis in original.]

Failure to include this language in the notice may be a basis for the Court to deny the motion.